

EDUVISTA_PIVOT

Path to Contribution Margin Breakeven

[LTV/CAC]

0.37x

Current State
Threshold: 3.0x

[BREAKEVEN]

MTH_05

Target Projection
Via Phygital Lite

[CAC_DELTA]

-40%

Cost Reduction
18K → 10.8K

// AUTHOR: Soham Sandeep Pawar
// TARGET: Tier-2 EdTech Market
// STATUS: STRICTLY CONFIDENTIAL

[SYS_FAIL: UNIT_ECONOMICS]

The Current Baseline (Month 0)

[THE_BURNING_PLATFORM]

Despite stable demand (2,400 active students), EduVista is structurally unprofitable at the per-student level. Growth without intervention accelerates insolvency.

[NET_LOSS_PER_STUDENT]	
Gross-Profit LTV:	Rs. 6,703
Less: Blended CAC:	(Rs. 18,000)
Net Unit Economics:	-Rs. 11,297

[MECE_ROOT_CAUSES]

- 01. HIGH CAC (Rs. 18,000)**

Inflated by 75% reliance on paid digital channels (Meta/Google). Highly susceptible to ad-auction inflation.
- 02. LOW RETENTION (42% @ 6-Mo)**

Online-only delivery lacks the peer cohort mechanics and social accountability required for Tier 2 IIT-JEE preparation.
- 03. THIN MARGIN (38% GM)**

100% live faculty delivery model carries 62% of the cost structure in teacher and platform overhead.

[STRATEGIC_OPTIONS_EVALUATION]

Evaluating the Pivot Matrix

[METRIC]	[OPTION_A] Full Hybrid	[OPTION_B] Phygital Lite	[OPTION_C] Recorded-First
Setup CapEx	Rs. 4.50 Cr	Rs. 1.25 Cr	Rs. 0.30 Cr
6-Mo Retention	65%	55%	35%
LTV/CAC	3.5x	1.96x	1.4x
Breakeven	Month 8	Month 5	Month 10
[VERDICT]	[REJECTED]	[RECOMMENDED]	[REJECTED]

NOTE ON OPTION C: Scores highest on capital requirement (cheapest) but holds the lowest weighted total. Its retention outcome (35%) creates a mathematically inescapable churn spiral before CAC is recovered.

[EXECUTE: PHYGITAL_LITE]

Operational Interventions & Target Economics

[INITIATIVE_01: REFERRAL_ENGINE]

Launch Rs. 2,500 fee credit. Shift channel mix from 75% paid to 25% paid.

→ IMPACT: CAC drops 40% to Rs. 10,800.

[INITIATIVE_02: WEEKEND_HUBS]

Rent venue infrastructure (Rs. 80K/city). Assign facilitators for peer-accountability.

→ IMPACT: 6-Mo Retention lifts to 55%.

[INITIATIVE_03: BLENDED_MARGIN]

Shift 40% of content to recorded modules (CapEx Rs. 48L). Reserve live for doubt resolution.

→ IMPACT: Gross Margin expands to 52%.

[UNIT_ECONOMICS_DELTA]

METRIC	CURRENT	TARGET
Gross Margin	38%	52%
Avg Lifetime	4.2 mo	8.5 mo
Gross LTV	Rs. 6.7K	Rs. 21.2K
Blended CAC	Rs. 18.0K	Rs. 10.8K
LTV/CAC	0.37x	1.96x

[P&L_PROJECTION_MATRIX]

Financial Milestones (INR Crores)

[METRIC]	[M0_NOW]	[M3_PILOT]	[M5_BREAKEVEN]	[M12_TARGET]
Active Students	2,400	3,200	4,500	7,500
Revenue	1.01	1.44	2.16	3.60
Total OpEx	0.79	0.76	0.80	0.93
[CONTRIB_MARGIN]	0.08	0.56	1.20	2.42

[CASH_CONSTRAINT_TRIGGER]

Months 1-2 represent the highest risk window. Hub infrastructure is deployed, but cohorts have not yet re-priced. If M3 active students fall below **2,800**, bridge financing must be activated immediately to protect the runway.

[MARKET_CONTEXT: COMPETITIVE_DYNAMICS]

The EdTech Reset & Competitor Benchmarking

[THE_FUNDING_COLLAPSE]

EdTech VC funding dropped 91% from USD 4.7 Bn (2021) to USD 0.4 Bn (2023). This was not a demand failure (IIT-JEE aspirants grew 14% YoY). It was an investor realization that paid digital CAC at scale is mathematically irrecoverable in a low-ARPU, high-churn model.

[WHY_PHYSICSWALLAH_WON]

PW's distribution is an outcome; its **cost structure** is the cause. 6 years of YouTube built a near-zero CAC moat. PW recovers its Rs. 1,000 CAC in **3 weeks**. EduVista takes 28 months.

[K-12_EDTECH_BENCHMARKS_FY25]

METRIC	PHYSICSWALLAH	UNACADEMY	ALLEN CI
Annual ARPU	Rs. 4,000	Rs. 8K-15K	Rs. 10K-20K
CAC	~Rs. 0	Rs. 12K-18K	Rs. 3K-5K
Gross Margin	65-70%	40-50%	55-65%
6-Mo Retention	65-70%	~40%	70-75%
LTV/CAC RATIO	>10x [OK]	0.5x [ERR]	4x [OK]

CRITICAL INSIGHT: EduVista is a late replication of the exact unit economics model that destroyed Unacademy (LTV/CAC ~0.4x). Scaling paid CAC deepens the loss per student.

[UNIT_ECONOMICS: COHORT_WATERFALL]

Tracking Net Position of 100 Acquired Students

[PRE-PIVOT: ONLINE ONLY]

At 38% Gross Margin and Rs. 18K CAC. Cohort never hits payback before churn.

MTH	ACTV	CUM_REV	NET_POS (38% GM)
M0	100	Rs. 4.20 L	-Rs. 13.80 L
M1	82	Rs. 7.64 L	-Rs. 10.35 L
M3	57	Rs. 12.89 L	-Rs. 5.10 L
M5	44	Rs. 16.84 L	-Rs. 1.15 L
M6	42	Rs. 18.60 L	+Rs. 0.60 L

[POST-PIVOT: PHYGITAL LITE]

At 52% Gross Margin and Rs. 10.8K CAC. Payback achieved by Month 4.

MTH	ACTV	CUM_REV	NET_POS (52% GM)
M0	100	Rs. 4.80 L	-Rs. 8.30 L
M1	88	Rs. 9.02 L	-Rs. 5.11 L
M3	70	Rs. 16.12 L	-Rs. 0.41 L
M5	60	Rs. 22.08 L	+Rs. 3.66 L
M6	55	Rs. 24.72 L	+Rs. 5.57 L

[IMPACT] By Month 6, the Phygital Lite cohort generates **Rs. 5.57 Lakh net positive** per 100 students—a **+Rs. 6.73 Lakh swing** per cohort compared to the current model. At current acquisition volumes, this is a Rs. 13.5L monthly improvement.

[CUSTOMER_SEGMENTATION: THE_TARGET]

Demographics, Psychographics & Willingness to Pay

[THE_CORE_DECISION_MAKER]

EduVista's core customer is the **parent** (Rs. 8-15L household income) in Tier 2 cities, not just the student. They require visible proof of engagement to justify spending 3-5% of their annual income.

[PSYCHOGRAPHIC_DRIVERS]

- **Peer Visibility:** Physical hubs cure the academic isolation of online-only prep.
- **Parental Accountability:** Weekend attendance is physically observable.
- **Result Credibility:** Localized cohorts build trust mirroring offline franchises.

[WILLINGNESS_TO_PAY_ANALYSIS]

FORMAT	PRICE	WTP CEILING	MARGIN GAP
Online Only (Current)	Rs. 4,200	Rs. 4,200	AT CEILING
Phygital Lite (Option B)	Rs. 4,800	Rs. 5,200	+Rs. 400 HEADROOM
Full Hybrid (Option A)	Rs. 5,500	Rs. 4,800	-Rs. 700 OVERPRICED

CRITICAL FINDING: Option A (Full Hybrid) prices out 40% of the addressable market (Rs. 5-8 Lakh households). Option B captures the WTP premium without breaching the ceiling.

[CAPITAL_ALLOCATION: CASH_BRIDGE]

Deploying Rs. 1.25 Cr to Reach Month 5 Breakeven

[CAPEX_BREAKDOWN: RS. 1.25 CR]

ITEM	COST
Faculty Recording (8 Subj)	Rs. 48.0L
Hub Setup (5 Cities)	Rs. 15.0L
Venue Deposits	Rs. 8.0L
Video Edit / LMS	Rs. 8.0L
Referral Tech / Training	Rs. 12.0L
Contingency Buffer (10%)	Rs. 9.0L
TOTAL CAPEX	Rs. 1.00 Cr (Base)

Payback achieved in 9 months via GM expansion.

[MONTHLY_CASH_BURN_BRIDGE]

MTH	GROSS_PROFIT	HUB_OPEX	OTH_OPEX	NET_CASH_POS
M0	Rs. 0.87 Cr	--	Rs. 0.79 Cr	-Rs. 3.20 Cr (Burn)
M1	Rs. 0.87 Cr	Rs. 0.00 Cr	Rs. 0.79 Cr	-Rs. 0.08 Cr
M2	Rs. 0.95 Cr	Rs. 0.58 Cr	Rs. 0.76 Cr	-Rs. 0.39 Cr
M3	Rs. 1.32 Cr	Rs. 0.58 Cr	Rs. 0.76 Cr	+Rs. 0.56 Cr
M5	Rs. 2.00 Cr	Rs. 0.58 Cr	Rs. 0.80 Cr	+Rs. 1.20 Cr (B/E)

[RISK WINDOW]

Months 1-2 consume the Rs. 1.5 Cr liquidity reserve. Bridge financing trigger activates if M3 students drop below 2,800.

[RISK_REGISTER: PROBABILITY_X_IMPACT]

Identifying and Mitigating Execution Threats

[CRITICAL_THREAT_VECTORS]

[R1] REFERRAL ADOPTION LAG

Trigger: Wk 6 conversion < 8%.

Mitigation: Activate influencer expansion (50 alumni @ Rs. 8K/mo).

[R4] M3 ENROLMENT MISS

Trigger: M2 net new < 280/mo.

Mitigation: Initiate bridge financing talks with Series B investors immediately.

SYSTEM ASSESSMENT: The compounding scenario (R1 + R4) is the only runway-ending threat (8-10% probability).

[HEATMAP_DISTRIBUTION]

IMPACT \ PROB	1	2	3	4	5
5 (FATAL)		R4			
4 (SEVERE)			R1		
3 (MOD)		R5,R6	R2,R3		
2 (MINOR)					
1 (LOW)					

[EXECUTIVE_RULING: THE_DECISION]

Three Paths Forward – Bounded by the 6-Month Runway

[CHOICE_01: OPTIMAL]

Execute Option B Immediately

Commit to Phygital Lite by end of current month. Venue contracts signed in Wk 2; Referral live in Wk 3.

Outcome: The ONLY path to Month 5 breakeven. Every week of delay shifts B/E by 3-4 weeks.

[CHOICE_02: SUB-OPTIMAL]

Raise a Bridge Round First

Raise Rs. 5-8 Cr to extend runway to 12 months before executing. Requires 6-10 weeks of Series B investor talks.

Outcome: Consumes runway during negotiation. Month 5 B/E becomes Month 9. Board narrative worsens.

[CHOICE_03: FATAL]

Do Nothing Material

Continue current operations with incremental optimization at Rs. 3.2 Cr/month burn.

Outcome: A 6-month controlled shutdown. Business reaches zero cash at Month 6. Distressed sale or wind-down.

[THE_CRITICAL_METRIC: BLENDED CAC (30-DAY ROLLING)]

If CAC > Rs. 15,000 at the end of Month 2, the referral program has failed. Bridge financing must be triggered instantly. The window between trigger recognition and action is the difference between a controlled pivot and a cash crisis.

[SYSTEM_PROCESS_COMPLETE]

About the Analyst & Project Methodology

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"This report is a self-initiated consulting case study developed to demonstrate structured business problem-solving, financial modelling, and strategic analysis capability from first principles."

[SKILLS_DEMONSTRATED_MATRIX]

COMPETENCY	APPLICATION IN REPORT
Problem Decomposition	MECE Diagnostic Framework
Unit Econ Modelling	LTV, CAC, Cohort Waterfall Analysis
Financial Projection	M0-M12 P&L, Sensitivity Data Grid
Competitive Strategy	PW / Unacademy Benchmarking
Scenario Analysis	Weighted Options Evaluation Matrix
Risk Management	Probability x Impact Register (6-Factor)
Market Sizing	Tier-2 TAM/SAM & WTP Segmentation